

Whistleblowing

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the difficult decision of reporting illegal behavior at your own company. Specifically, this lesson will cover:

1. The Risks of Whistleblowing



Reporting on unethical behavior can not only lead to immediate termination, but being blackballed in the industry.



THINK ABOUT IT

Imagine you know there is something wrong, dangerous, illegal, or unethical that the business you work for is doing. Perhaps your employer allows a hostile or dangerous work environment, doing nothing to stop or fix it. Now consider this: You need your job to pay the bills. People depend on you. What do you do?

One of the toughest ethical challenges an employee might face is whether to come forward if their company

is willfully breaking the law. The act of **whistleblowing**—going to an official government agency and disclosing an employer’s violation of the law—is different from public criticism. In fact, whistleblowing is largely viewed as a public service because it helps society reduce bad workplace behavior.

Being a whistleblower is not easy, however, and someone inclined to act as one should expect many hurdles. If a whistleblower’s identity becomes known, their revelations may amount to career suicide. Even if they keep their job, whistleblowers often are not promoted, and they may face resentment not only from management but also from rank-and-file workers who fear the loss of their own jobs. Whistleblowers may also be blacklisted, making it difficult for them to get a job at a different firm, and all as a result of doing what is ethical.

Blowing the whistle on your employer is a big decision with significant ramifications. In terms of stakeholders, it can take the ones you know and care about and pit them against abstract and largely unknown stakeholders like the environment, the welfare of the community, and ethical business practices.

However, most employees do not want to cover up unethical or illegal conduct, nor should they. When should employees decide to blow the whistle on their boss or company? Ethicists say it should be done with an appropriate motive—to get the company to comply with the law or to protect potential victims—and not to get revenge on a boss at whom you are angry. Of course, even if an employee has a personal revenge motive, if the company actively is breaking the law, it is still important that the wrongdoing be reported. In any case, knowing when and how to blow the whistle is a challenge for an employee wanting to do the right thing.

The employee should usually try internal reporting channels first, to disclose the problem to management before going public. Sometimes workers mistakenly identify something as wrongdoing that was not wrongdoing after all. Internal reporting gives management a chance to start an investigation and attempt to rectify the situation. The employee who goes to the government should also have some kind of hard evidence that wrongful actions have occurred; the violation should be serious, and blowing the whistle should have some likelihood of stopping the wrongful act.

Under many federal laws, an employer cannot retaliate by firing, demoting, or taking any other adverse action against workers who report injuries, concerns, or other protected activity. One of the first laws with a specific whistleblower protection provision was the Occupational Safety and Health Act of 1970. Since passage of that law, Congress has expanded whistleblower authority to protect workers who report violations of more than twenty different federal laws across various topics. (There is no all-purpose whistleblower protection; it must be granted by individual statutes.)

A sample of the specific laws under which whistleblowing employees are protected can be found in the environmental area, where it is in the public interest for employees to report violations of the law to the authorities, which, in turn, helps the average citizen concerned about clean air and water. The Clean Air Act of 1963 includes a provision that protects any employee reporting air emission violations from area, stationary, and mobile sources from any retaliation for such reporting. The Clean Water Act of 1972 similarly protects from retaliation any employee who reports alleged violations relating to discharge of pollutants into water.

Without the help of employees who are “on the ground” and see the violations occur, it could be difficult for government regulators to always find the source of pollution. Even when whistleblowers are not acting completely altruistically, their revelations may still be true and worthy of being brought to the public’s attention. Thus, in such situations, the responsible employee becomes a steward of the public interest, and we all should want whistleblowers to come forward. Yet not all whistleblowers are white knights, and not all their firms are evil dragons worthy of being slain. Instead, the company may assert it is the case of the disgruntled worker who has been sidelined or fired. The former employee wants payback. It also may be the case that the administration is not aware of breaches of laws, let alone that they tolerate it or even promote it. The cases may not be clear-cut and require investigation.

**Whistleblowing (also Whistleblower)**

Reporting illegal activity at your workplace to the appropriate authorities.

2. Incentives for Whistleblowing



In some cases, a whistleblower is eligible for part of the civil penalty incurred by the defendant, but these issues usually take years of legal battles to resolve.

Blowing the whistle may bring the employee more than just intrinsic ethical rewards; it may also result in cash. The most lucrative law under which employees can blow the whistle is the **False Claims Act (FCA)**, which applies specifically to businesses defrauding the federal government. This legislation was enacted in 1863, during the American Civil War, because Congress was worried that suppliers of goods to the Union Army might cheat the government. The FCA has been amended many times since then, and today it serves as a leading example of a statutory law that remains important after more than 150 years. The FCA provides that any person who knowingly submits false claims to the government must pay a civil penalty for each false claim, plus triple the amount of the government's damages. The amount of this basic civil penalty is regularly adjusted by the cost of living, and the current penalty range is from \$5,500 to \$11,000.

More importantly, the **qui tam provision** of the law allows private persons (called **relators**) to file lawsuits for violations of the FCA on behalf of the government and to receive part of any penalty imposed. Qui tam is Latin for "who as well," and dates back to medieval times when people in England could bring suits on behalf of the king or queen.

The person bringing the action is a type of a whistleblower, but one who initiates legal action on his or her own rather than simply reporting it to a government agency. If the government believes it is a worthwhile case and intervenes in the lawsuit, then the relator is entitled to receive between 15% and 25% of the amount the government recovers. If the government thinks winning is a long shot and declines to intervene in the lawsuit,

the relator's share increases to 25% to 30%.

➔ **EXAMPLE** In 2012, a single whistleblower, Bradley Birkenfeld, a former UBS Corporation employee, was awarded \$104 million by the Internal Revenue Service (IRS), making him the most highly rewarded whistleblower in history. Birkenfeld also spent time in prison for participating in the tax fraud he reported.

➔ **EXAMPLE** In 2009, ten former Pfizer employees were awarded \$102 million for exposing an illegal promotion of prescription medications. John Kopchinski, the original whistleblower and one of the ten, received \$50 million.

It is not just the size of the reward that should get your attention but also the amount of money these employees saved taxpayers and/or shareholders. They turned in companies that were cheating the Centers for Medicare and Medicaid Services (affecting taxpayers), the IRS (affecting government revenues), and private health insurance (affecting premiums). The public saved far more than the reward paid to the whistleblowers.

Incredibly high rewards such as these are somewhat unusual, but according to National Whistleblower Center director Stephen Kohn, "Birkenfeld's and [other] rewards act like advertisements for the U.S. government's whistleblower programs, which make hundreds of rewards every year." In addition, and more recently, banks with Russian ties have been targeted by U.S. Treasury whistleblowers since the USA will pay for tips on money-laundering and sanctions violations.

The FCA is one of four laws under which whistleblowers can receive a reward; the others are administered by the IRS, the SEC, and the Commodity Futures Trading Commission. Most whistleblowers do not get paid until the lawsuit and all appeals have concluded and the full amount of any monetary penalty has been paid to the government. Many complex cases of business fraud can go on for several years before a verdict is rendered and appealed (or a settlement is reached). An employee whose identity has been disclosed and who has been unofficially blacklisted may not see any reward money for several years.



THINK ABOUT IT

Does it make sense for the government to reward whistleblowers? What are the reasons for doing this, and what are some of the possible issues?



TERMS TO KNOW

False Claims Act (FCA)

A law that has stiff penalties for businesses defrauding the federal government.

Qui Tam Provision

A provision that allows private citizens to sue companies that defraud the government; people taking this initiative receive 25% to 30% of any money recovered by the government.

Relators

The legal term for people who do sue a company on behalf of the government. A relator is by necessity a whistleblower, but not all whistleblowers take the legal steps of being relators.

3. Examples of Employee Decisions

No amount of reading about the risks and potential consequences of reporting misconduct can prepare

someone for a situation where they not only experience it at work, but on a scale where public reporting is a possibility. These two examples show women in that situation and what followed their decisions.



The decision to blow the whistle is never easy, but may be ethically necessary. Another course is to try to resolve the ethical issues internally.

3a. Blowing the Whistle at Enron

Enron is one of the most infamous examples of corporate fraud in U.S. history. The scandal that destroyed the company resulted in approximately \$60 billion in lost shareholder value. Sherron Watkins, an officer of the company, discovered the fraud and first went to her boss and mentor, founder and chairperson Ken Lay, to report the suspected accounting and financial irregularities. She was ignored more than once and eventually went to the press with her story. Because she did not go directly to the SEC, Watkins received no whistleblower protection. (The Sarbanes-Oxley Act was not passed until after the Enron scandal. In fact, it was Watkins's circumstance and Enron's misdeeds that helped convince Congress to pass the law.)

Now a respected national speaker on the topic of ethics and employees' responsibility, Watkins talks about how an employee should handle such situations. "When you're faced with something that really matters, if you're silent, you're starting on the wrong path; go against the crowd, if need be," she said in a speech to the National Character and Leadership Symposium, a seminar to instill leadership and moral qualities in young men and women.

Watkins talks openly about the risk of being an honest employee, something employees should consider when evaluating what they owe their company, the public, and themselves. "I will never have a job in corporate America again. The minute you speak truth to power and you're not heard, your career is never the same again."



THINK ABOUT IT

Did Watkins owe an ethical duty to Enron, to its shareholders, or to the investing public to go public with her suspicions?

Sometimes employees, including managers, face an ethical dilemma that they seek to address from within rather than becoming a whistleblower. The risk is that they may be ignored or that their speaking up will be held against them. However, companies should want and expect employees to step forward and report wrongdoing to their superiors, and they should support that decision, not punish it.

3b. Not Blowing the Whistle at Merrill Lynch

Shortly after Sallie Krawcheck took over as chief of Merrill Lynch's wealth management division at Bank of America, she discovered that a mutual fund called the Stable Value Fund, a financial product Merrill had sold to customers as an investment for their 401k plans, was not as stable as its name implied. The team at Merrill had made a mistake by managing the fund in a way that assumed a higher risk than was acceptable to its investors, and the fund ended up losing much of its value. Unfortunately, because it was supposed to be a low-risk fund, the people who had invested in it, and who would suffer most from Merrill's mistakes, were earners of relatively modest incomes.

According to Krawcheck, she had two options. Option one was to say "tough luck" to the Stable Value Fund's investors, explaining that all investments carry some degree of risk. Option two was to bail out the investors by pouring money into the fund to increase its value. Should she risk her job again by choosing the ethical act, or should she make a purely financial decision and tell the 401k investors they would have to take the loss?

Krawcheck began talking to people inside and outside the company to see what they thought. Most told her to just keep her head down and do nothing. One "industry titan" told her there was nothing to be done, that everyone knows stable-value funds are not really stable. Unconvinced, Krawcheck took the problem to Bank of America's CEO. He agreed to back her up and put company money into the depleted stable-value funds to prop them up.

Krawcheck opted to be honest and ethical by helping the small investors and felt good about it. She took a bold move in approaching corporate leaders directly, since this meant she would not receive whistleblower protections.

"I thought ethical business was good business," she says. "It came down to my sense of purpose as well as my sense of my industry's purpose; it wasn't about some abstract ethical theorem . . . the answer wasn't that I got into the business simply to make a lot of money. It was because it was a business that I knew could have a positive impact on clients' lives" (Krawcheck, 2017). While she did keep her job, the ending is not completely happy. Krawcheck had lost valuable allies at the company, and her progress was halted. Even an ideal situation like hers, where she was able to demonstrate both loyalty to the company and uncompromising ethics, can lead to an unhappy work environment with less trust among colleagues.



REFLECT

Krawcheck made a choice to put her trust in company leadership to correct the problems. Have you ever alerted your boss to an ethical problem, and if so, what was the result?



BIG IDEA

It is incredibly hard to speak truth to power, and there are always consequences. A principles-based decision, even if all of the facts are clear, may not be well received. There are times when we have to consider those who are silent, who do not have a voice, or future generations, and choose to stand up and speak. The long-term consequences of not telling could make it very difficult to look in the mirror.



SUMMARY

In this lesson, you learned about **the risks of whistleblowing**. While often quite important, the act of whistleblowing is often associated with significant negative consequences. There are some **incentives for whistleblowing** besides ethical duty. In some cases, the whistleblowers received

compensation, but in those rare cases, the reward is a fraction of the amount recovered by the government. There have been whistleblower cases that have led to new legislation and have motivated Congress to action. Whistleblower cases are not always a classical David and Goliath story, with a lone person up against a gigantic corporation, and sometimes they can be quite complicated. Two **examples of whistleblowing** were given, one where the person **did blow the whistle on Enron** and one where the person **did not blow the whistle at Merrill Lynch**, instead working internally to resolve ethical problems. Whistleblowing can have consequences for one's career, but for change to occur, and for the damage to stop, someone has to speak up.

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